

2-2b Income Statement Accounts

The debit and credit rules for income statement accounts are based on their relationship with stockholders' equity. As shown for balance sheet accounts, stockholders' equity accounts are increased by credits. Because revenues increase stockholders' equity, revenue accounts are increased by credits and decreased by debits. Because stockholders' equity accounts are decreased by debits, expense accounts are increased by debits and decreased by credits. Thus, the rules of debit and credit for revenue and expense accounts are as follows:

Income Statement Accounts			
Revenue Accounts		Expense Accounts	
Debit for	Credit for	Debit for	Credit for
decreases (–)	increases (+)	increases (+)	decreases (–)

Business Insight

The Hijacking Receivable

A company's chart of accounts should reflect the basic nature of its operations. Occasionally, however, transactions take place that give rise to unusual accounts. The following is a story of one such account.

Before strict airport security was implemented across the United States, several airlines experienced hijacking incidents. One such incident occurred when a **Southern Airways** jet en route from Memphis to Miami was hijacked during a stopover in Birmingham, Alabama. The three hijackers boarded the plane in Birmingham armed with handguns and grenades. At gunpoint, the hijackers took the plane, the plane's crew, and the passengers to nine American cities, Toronto, and eventually to Havana, Cuba.

During the long flight, the hijackers demanded a ransom of \$10 million. Southern Airways, however, was only able to come up with \$2 million. Eventually, the pilot talked the hijackers into settling for the \$2 million when the plane landed in Chattanooga for refueling.

Upon landing in Havana, the Cuban authorities arrested the hijackers and, after a

brief delay, sent the plane, passengers, and crew back to the United States. The hijackers and the \$2 million stayed in Cuba.

How did Southern Airways account for and report the hijacking payment in its subsequent financial statements? As you might have analyzed, the initial entry credited Cash for \$2 million. The debit was to an account entitled “Hijacking Payment.” This account was reported as a type of receivable under “other assets” on Southern Airways’ balance sheet. The company maintained that it would be able to collect the cash from the Cuban government and that, therefore, a receivable existed. In fact, Southern Airways was later repaid \$2 million by the Cuban government.

Chapter 2: Analyzing Transactions: 2-2b Income Statement Accounts

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